

\$500-a-month rent on my own. But split five ways, it's cheap.'"

Another example? We know two couples who bought an \$11,000 house a few blocks from the water in Pensacola, Florida. It's a fixer-upper. But the four of them plan to work on it together. They'll live in the house while they make the repairs. That will save money. And they'll take their time, doing most of the work themselves and getting the best prices on materials.

If you already rent a large place, could you take in boarders? Better yet, do you know someone with a big house who might want *you* as a boarder? Could you form a group of people who might rent a place together? Could you live in a friend's mountain cabin under a special arrangement?

SEARCH OUT MONEYMAKING SIDELINES

When you retire with the full \$500,000, you'll never have to work another day in your life. You may *choose* to do something that earns money. Chapter 7 points out that you may even do something that makes you a lot of money. That's because you'll have your mind clear to think about opportunities.

Not so for bare-bones retirees. Your total monthly income amounts to only \$743. You'll probably spend it all, leaving nothing in the bank to cover inflation. You'll receive \$743 a month—more or less, depending on how interest rates move—as long as you live. But each year that \$743 will be worth less. At age 62 you'll be eligible for Social Security. If you're vested in a company pension plan, you'll start to collect at age 55 or so. If your aunt Sally dies she may leave you something in her will. But with only \$100,000 in the bank, chances are you'll need extra money before you reach age 55 or Aunt Sally dies. And remember the horrible life of the \$743-a-month Social Security couple. You need a nest egg to make sure you don't wind up old and poor.